

8

Identifying Market Segments and Targets

Marketing Management, 13th ed

Chapter Questions

- What are the different levels of market segmentation?
- How can a company divide a market into segments?
- How should a company choose the most attractive target markets?
- What are the requirements for effective segmentation?

Baby Boomers: A Lucrative Market



Effective Targeting Requires...

- Identify and profile distinct groups of buyers who differ in their needs and preferences
- Select one or more market segments to enter
- Establish and communicate the distinctive benefits of the market offering

Ford's Model T Followed a Mass Market Approach



Four levels of Micromarketing



What is a Market Segment?

A market segment consists of a group of customers who share a similar set of needs and wants.

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A Featured Conversation on Politics | view all

Being An American by George McNaughton

January 30, 2008 05:52 PM -- To most politically active Americans to be called un-American is a pretty nasty insult. Unfortunately, since there seems to be a growing number of Americans who do not understand what it means to . . . more

Jerry Kays - Being an American that has been around since early 1940, I know something about it. I have traveled a fair amount in this world and was well received in all of it for the most part, even as a US-Navy member . . . more

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FIRST TRACKS

Flexible Marketing Offerings

- **Naked solution:** Product and service elements that all segment members value
- **Discretionary options:** Some segment members value options but not all

Preference Segments

- **Homogeneous preferences** exist when consumers want the same things
- **Diffused preferences** exist when consumers want very different things
- **Clustered preferences** reveal natural segments from groups with shared preferences

Niche Marketers



At Enterprise,
You Always Know
Where You Stand.

There's a place where the number one
priority is you. That's why no matter what
the season, no matter what the reason, you
can always count on Enterprise.

Pick Enterprise. We'll pick you up.
1 800 rent-a-car

THE PERFECT RENTAL PACKAGE – RIGHT IN YOUR NEIGHBORHOOD.

An advertisement for Enterprise Rent-A-Car. The top half has a white background with black text. Below the text is a graphic of a hammer with a circular head containing the words 'PRIORITY 1'. The bottom half of the ad shows a small, light-colored toy car on a wooden surface, with the Enterprise logo and '1 800 rent-a-car' printed on its side. The entire ad is framed by a green border.

Enterprise Rent-A-Car
targets the insurance-
replacement market

Baskin Robbins Focuses on Local Marketing



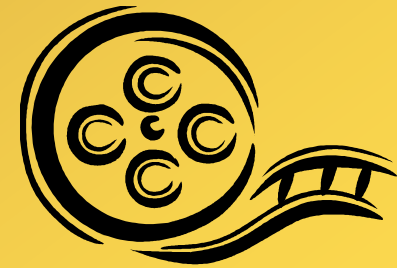
The screenshot shows the Baskin Robbins website with a navigation bar at the top containing links: Sign In, Find A Store, Nutrition, About Us, and Franchise Opportunities. Below the navigation bar is a menu with categories: ice cream, sundaes, beverages, cakes, grab-n-go, gift certificates, and birthday club. The main banner features two Baskin Robbins products: a Chocolate Chip Truffle Shake and a Chocolate Covered Strawberry Sundae. The text on the banner reads: 'DELIGHTFUL DECADENCE for the chocoholic. Love chocolate? Click here for more!'. Below this text, it says 'Treat yourself with our new Chocolate Covered Strawberry Sundae and Chocolate Chip Truffle Shake. See all Sundaes See all Beverages'. On the right side of the banner, there are two buttons: 'find a store' and 'birthday club FREE ICE CREAM!'. At the bottom of the banner, there are 'prev' and 'next' navigation arrows.

The Long Tail

- Chris Anderson explains the long tail equation:
 - The lower the cost of distribution, the more you can economically offer without having to predict demand;
 - The more you can offer, the greater the chance that you will be able to tap latent demand for minority tastes; and
 - Aggregate enough minority taste, and you may find a new market.

What is Customerization?

Customerization combines operationally driven mass customization with customized marketing in a way that empowers consumers to design the product and service offering of their choice.



Segmenting Consumer Markets



Geographic

Demographic

Psychographic

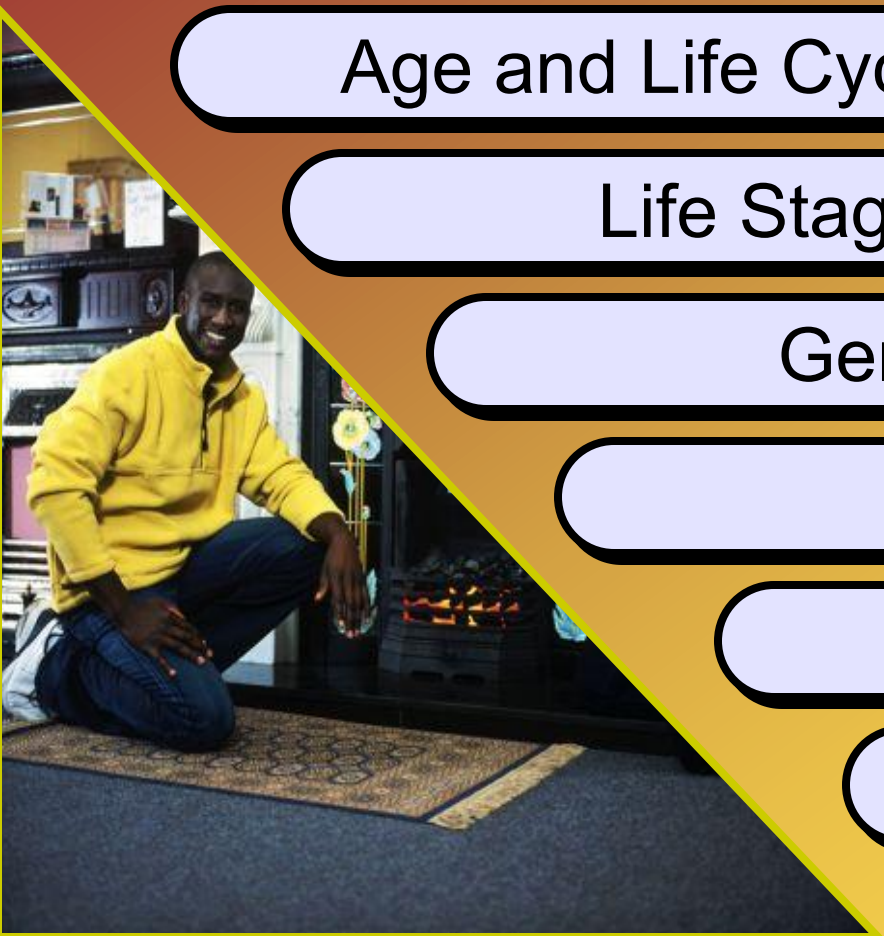
Behavioral

Claritas' Prizm



- Education and affluence
- Family life cycle
- Urbanization
- Race and ethnicity
- Mobility

Demographic Segmentation

A photograph of a man with a beard, wearing a bright yellow hoodie and dark blue jeans, kneeling on a patterned rug in front of a fireplace. The fireplace has a glass door and a fire is visible inside. The background shows a living room with shelves and other furniture.

Age and Life Cycle

Life Stage

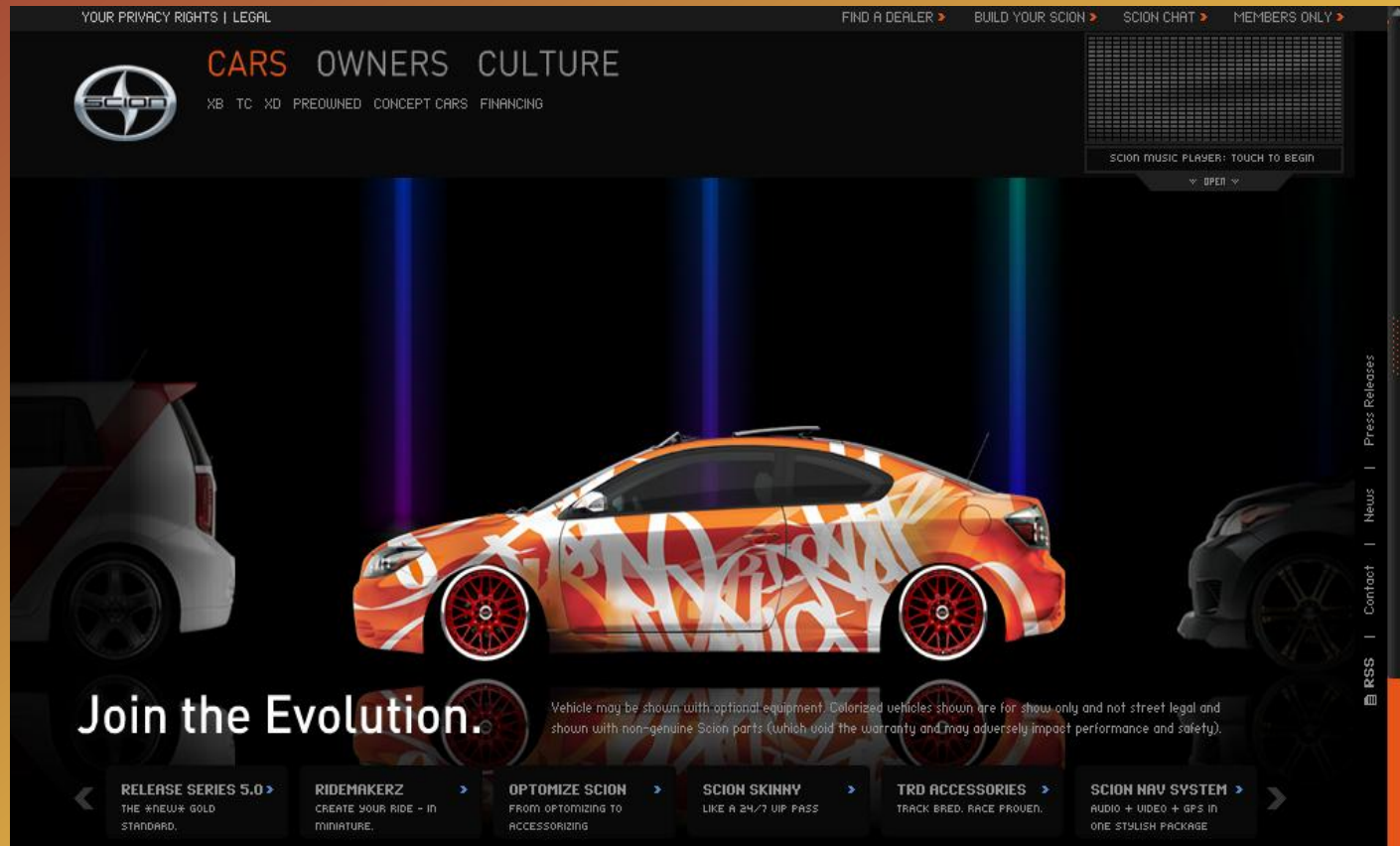
Gender

Income

Generation

Social Class

Toyota Scion Targets Gen Y Consumers



Dove Targets Women



share your views in the news inside the campaign dove self-esteem fund  campaignforrealbeauty | Dove.



the dove
self-esteem
fund





Girls Only Interactive Self Esteem Zone
Confront and conquer your biggest beauty hang-ups here.
[→ check it out](#)



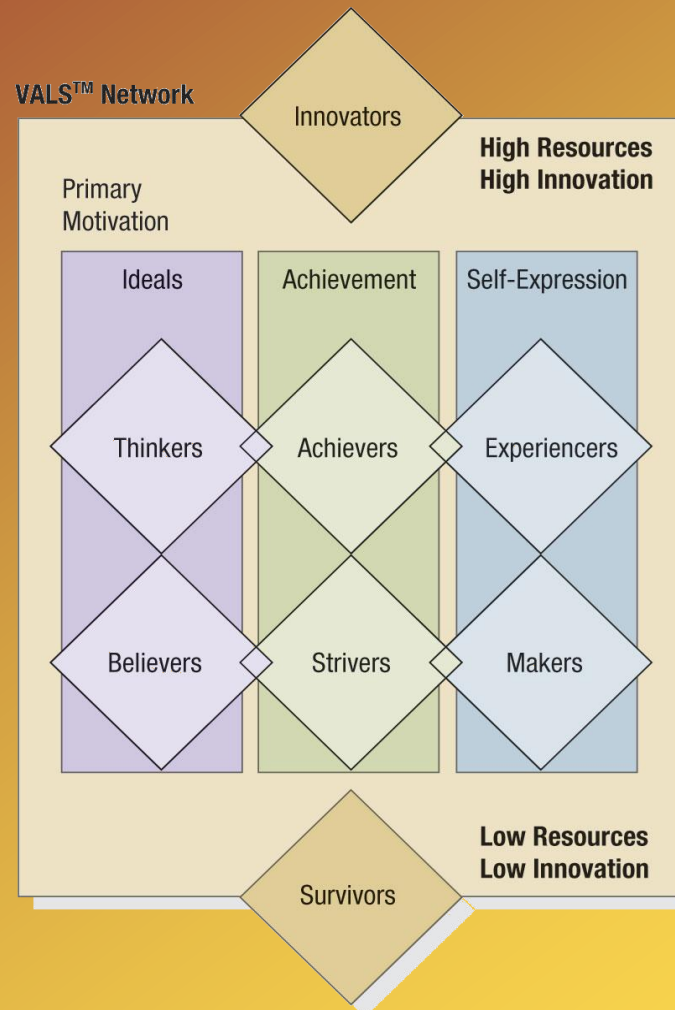
For Moms & Mentors
Interactive tools, workshops and guides to use at home and in your community.
[→ check it out](#)



About The Fund
Help us reach the lives of 5 million girls by 2010.
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Figure 8.1

The VALS Segmentation System



Behavioral Segmentation

Decision Roles

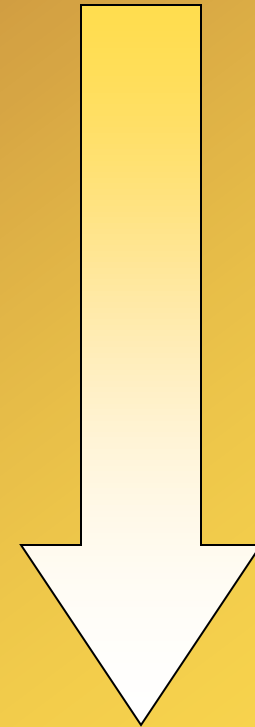
- Initiator
- Influencer
- Decider
- Buyer
- User

Behavioral Variables

- Occasions
- Benefits
- User Status
- Usage Rate
- Buyer-Readiness
- Loyalty Status
- Attitude

The Brand Funnel Illustrates Variations in the Buyer-Readiness Stage

- Aware
- Ever tried
- Recent trial
- Occasional user
- Regular user
- Most often used



Loyalty Status

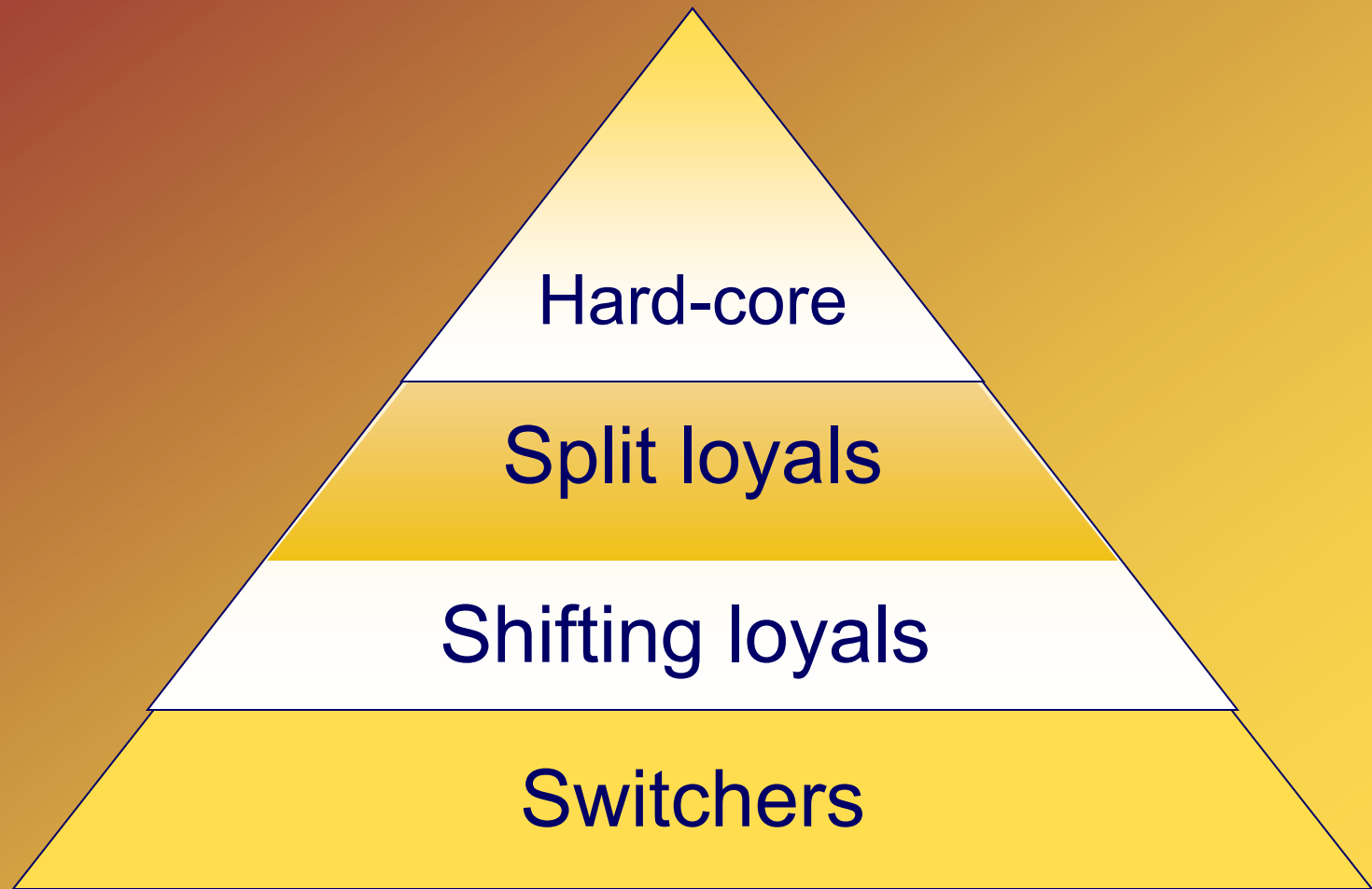
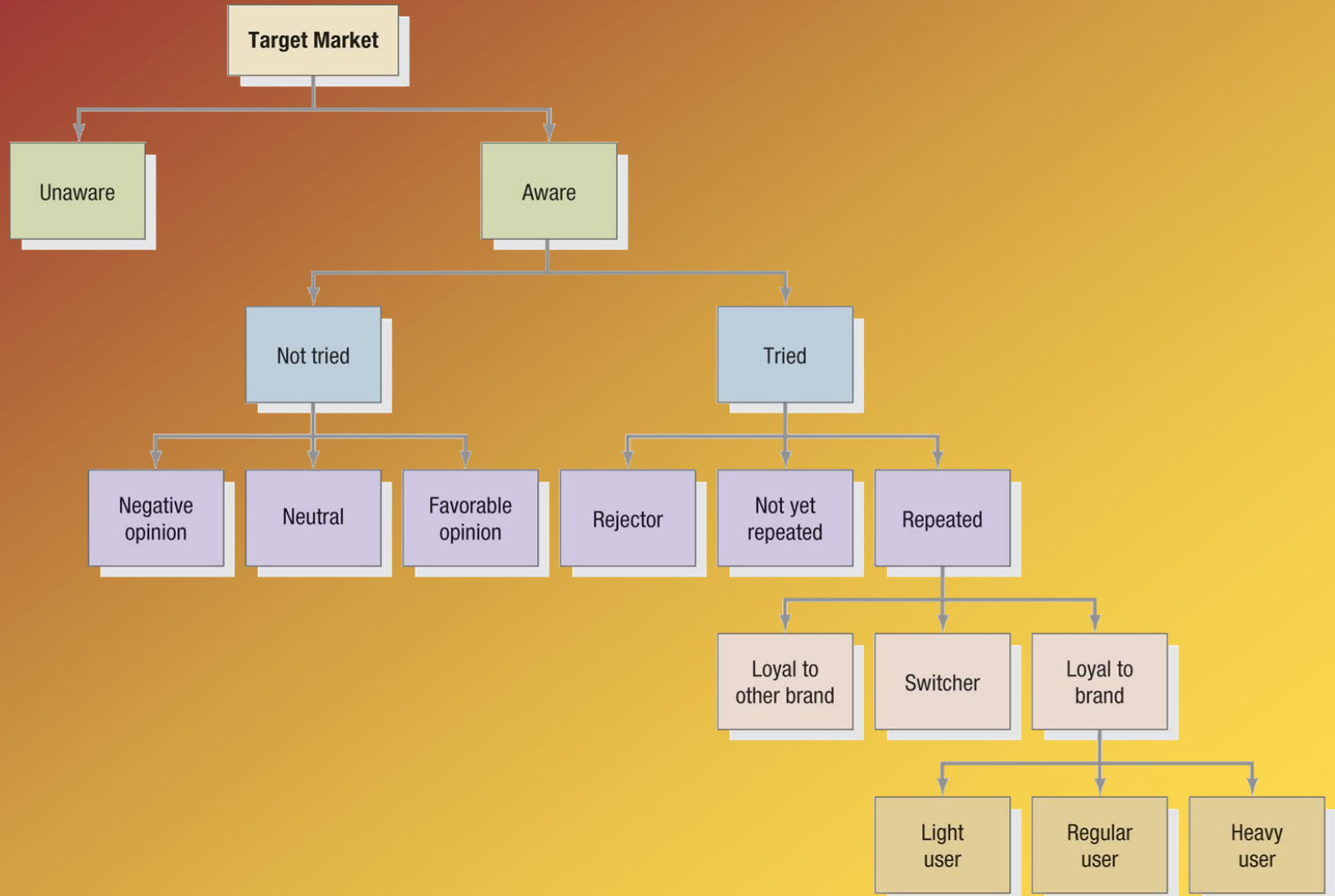
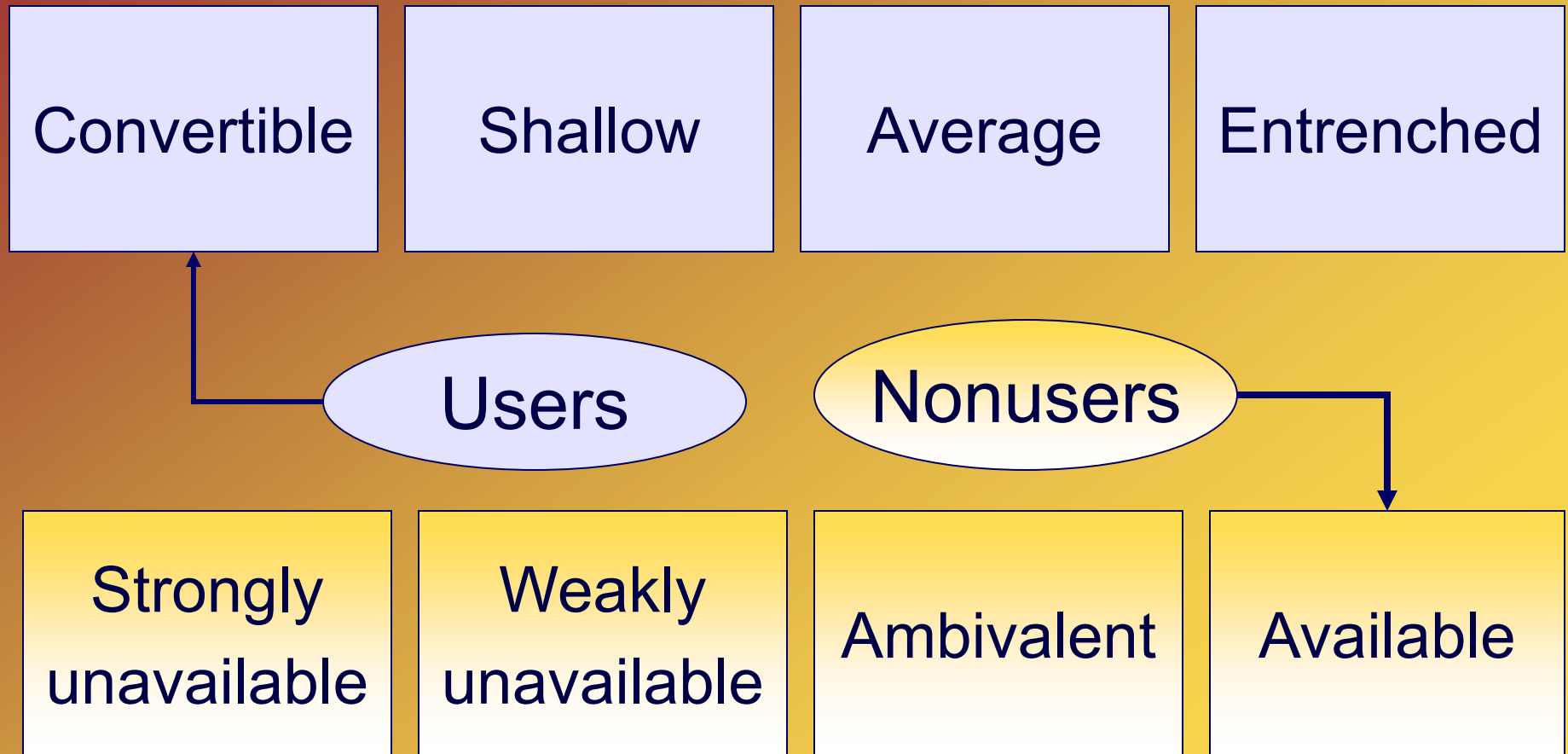


Figure 8.3 Behavioral Segmentation Breakdown



The Conversion Model



Segmenting for Business Markets

Demographic

Operating Variable

Purchasing Approaches

Situational Factors

Personal
Characteristics



Steps in Segmentation Process

Needs-based segmentation

Segment identification

Segment attractiveness

Segment profitability

Segment positioning

Segment acid test

Marketing-Mix
Strategy

Effective Segmentation Criteria

Measurable

Substantial

Accessible

Differentiable

Actionable

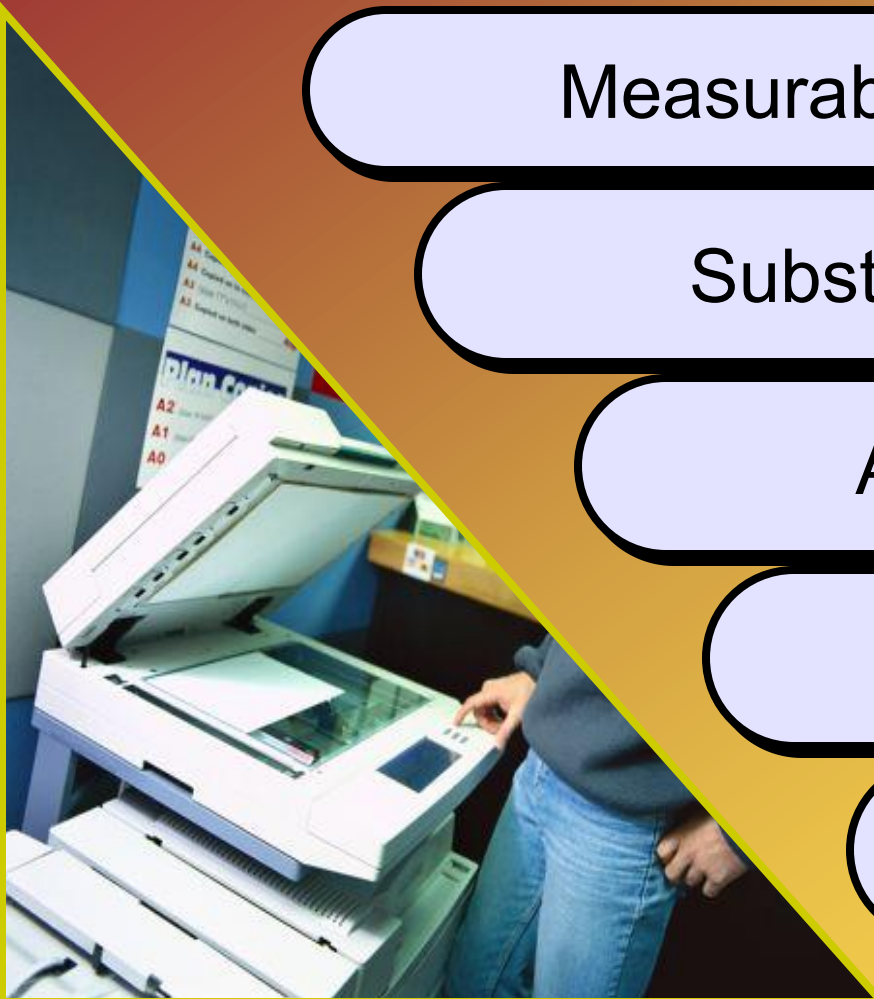


Figure 8.4 Patterns of Target Market Selection

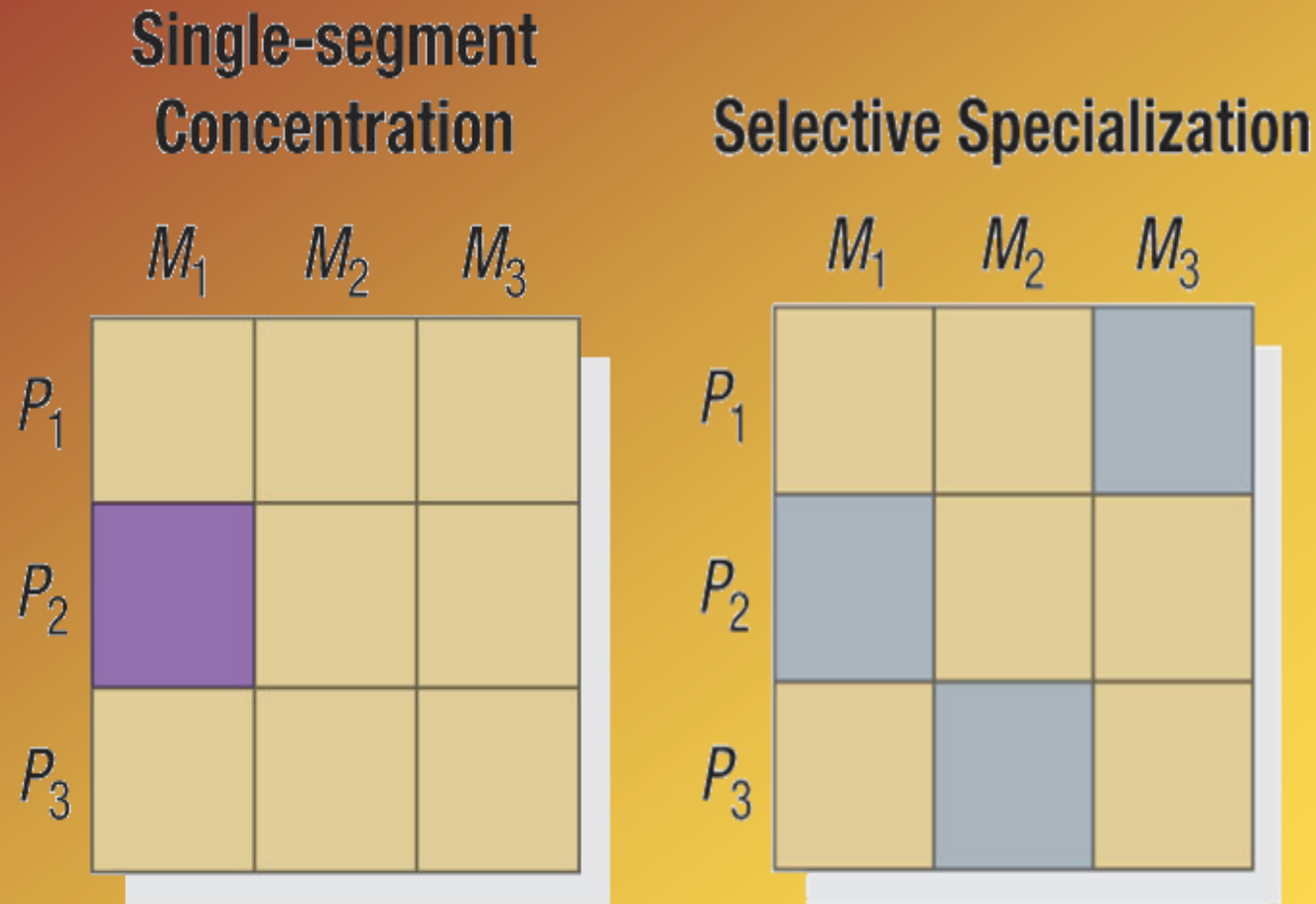


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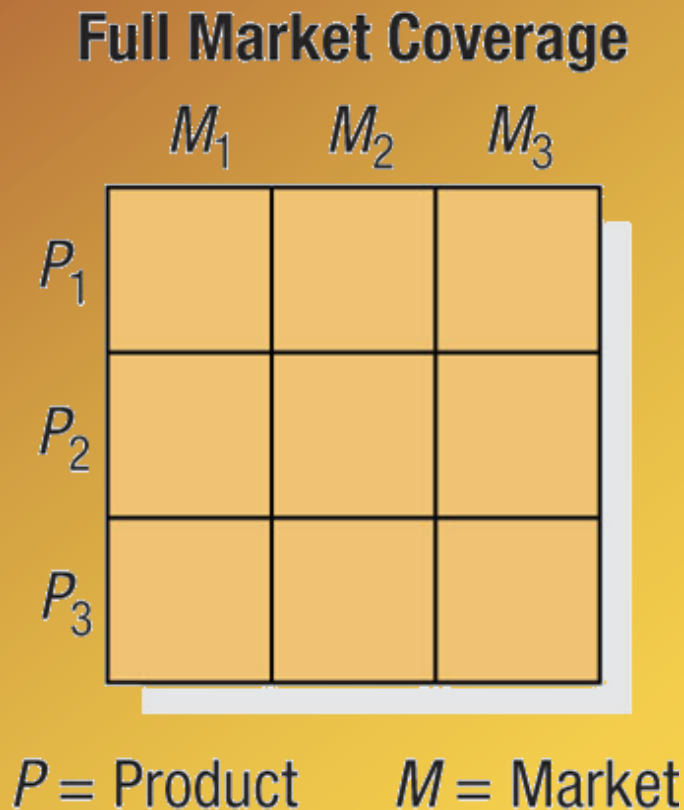
Product Specialization

	M_1	M_2	M_3
P_1			
P_2			
P_3			

Market Specialization

	M_1	M_2	M_3
P_1			
P_2			
P_3			

Figure 8.4 Patterns of Target Market Selection



Crest Whitestrips Follows a Multisegment Strategy



ASK WHITESTRIPS | BUY WHITESTRIPS | SITE MAP | United States | enter search term | SEARCH

The #1 Dentist Recommended Brand

WHITESTRIPS CHOICES
ABOUT CREST WHITESTRIPS
SUCCESS STORIES
BEST POSSIBLE YOU
PRESS RELEASES
SPECIAL OFFERS
AVAILABLE AT DENTIST
KEEPTHEM GUESSING.COM
SATISFACTION GUARANTEED
BEAUTY CONSULTATION

Crest Whitestrips Premium
2X more whitening per strip
than the leading dissolving strip*

GET THE FACTS ▶

Save \$5 on Crest whitestrips Premium

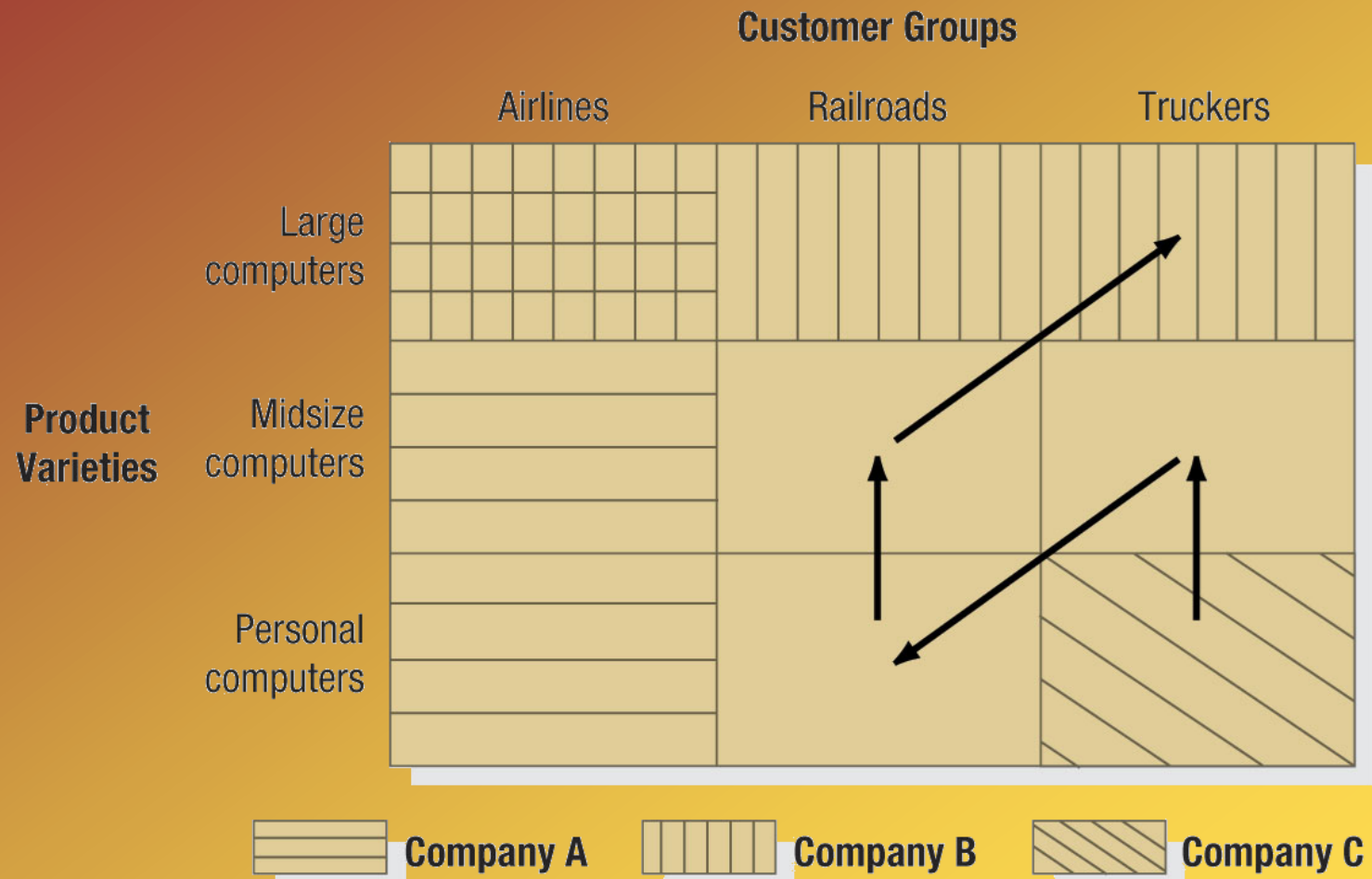
Whitens 2X Better Per Strip than the Leading Dissolving Strip*
GET THE FACTS ▶

*Crest Whitestrips Premium vs. the leading dissolving strip

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PRIVACY
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Figure 8.5 Segment-by-Segment Invasion Plan



Pepsi used Megamarketing in India



Marketing Debate

✓ Is mass marketing dead?

Take a position:

1. Mass marketing is dead.

or

2. Mass marketing is still a viable way to build a profitable brand.

Marketing Discussion

- ✓ Think of various product categories.
- ✓ How would you classify yourself in terms of the various segmentation schemes?
- ✓ How would marketing be more or less effective for you depending upon the segment involved?